# Report on Fair Equity Share Exchange Ratio

## Glass Wall Systems (India) Limited

## Yes Systems Private Limited

August 2025

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BDO Valuation Advisory LLP
The Ruby, Level 9, North West Wing
Senapati Bapat Marg, Dadar (W)
Mumbai 400028, India

Ref. No.: SD/Aug21-102A/2025 August 21, 2025

To,

**The Board of Directors**
**Glass Wall Systems (India) Limited**
503-504, 5th Floor, A Wing, Marathon Futurex,
Mafatlal Mills Compound, N.M. Joshi Marg,
Lower Parel (E) Mumbai 400 013.

**The Board of Directors**
**Yes Systems Private Limited**
Plot No. A-471, TTC MIDC Mahape,
Navi Mumbai, Thane – 400 710.

Dear Sir(s) / Madam(s),

**Sub: Determination of Fair Equity Share Exchange Ratio in relation to the Proposed Acquisition / Transaction**

We, BDO Valuation Advisory LLP **("BDO Val" or "We" or "Us" or "Our")**, have been appointed vide letter dated July 30, 2025, bearing its reference number SD/July301/2025, to determine fair equity share exchange ratio for the proposed acquisition of Yes Systems Private Limited **("YSPL" or "Target Company")** by Glass Wall Systems (India) Limited **("GWSIL" or "Acquirer Company")**.

Hereinafter GWSIL and YSPL are collectively referred to as **"the Client(s)"** or **"the Company(ies)"**.

This fair equity share exchange ratio report **("the Report")** will be used to comply with applicable provisions of the Companies Act, 2013 **("the Act").**

We are pleased to present herewith our Report on the same.

We hereby confirm that we have no present or planned future interest in the Companies / the Clients except to the extent of our appointment as a registered valuer for this Report.

We have considered the valuation base as '*Fair Value*' and the premise of value is '*current use / existing use*'. We hereby confirm that the valuation is carried out as per International Valuation Standards **("IVS")**. Any change in the valuation base or the premise, could have a significant impact on the outcome of the valuation exercise, and therefore, this Report.

We believe that our analysis must be considered as a whole. Selected portions of our analysis or the factors we considered, without considering all factors and analysis together could create a misleading view of the process underlying the valuation conclusions. The preparation of valuation is a complex process and is not necessarily amenable to partial analysis or summary description. Any attempt to do so could lead to undue emphasis on any particular factor or analysis.

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Regd. Office: The Ruby, Level 9, North West Wing, Senapati Bapat Marg, Dadar (W), Mumbai 400028, INDIA

A summary of the analysis is presented in the accompanying Report, as well as a description of the methodology and procedure we used, and the factors we considered in formulating our opinion.
This letter should be read in conjunction with the attached Report.

Regards,
**For BDO Valuation Advisory LLP**
IBBI No.: IBBI/RV-E/02/2019/103

Swanand Kishor Deshpande
Partner
IBBI No.: IBBI/RV/05/2019/11148
VRN No.: IOVRVF/BDO/2025-2026/5569

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# 1. Brief Background of the Companies

### Glass Wall Systems (India) Limited (“GWSIL” or “Acquirer Company”)

1.1. GWSIL was incorporated on August 27, 2010, under the provisions of the Companies Act, 1956. The Corporate Identification Number **(“CIN”)** of GWSIL is U74999MH2010PTC207187 and its registered office is 503-504, 5th Floor, A Wing, Marathon Futurex, Mafatlal Mills Compound, N.M. Joshi Marg, Lower Parel (E) Mumbai 400 013, as per the Ministry of Corporate Affairs **(“MCA”)** records.

1.2. GWSIL is a façade engineering company, engaged in providing solutions in architectural façades and glass curtain wall systems.

1.3. The issued, subscribed and fully paid-up share capital of GWSIL as on June 30, 2025, is INR 151.8 Mn., comprising of 75,921,625 fully paid-up equity shares of face value of INR 2.0 each.

1.4. The shareholding pattern of GWSIL as at June 30, 2025, is as below:

| Shareholder's Name | Number of Shares Held | Percentage Holding (%) |
|---|---:|---:|
| Jawahar H. Hemrajani | 31,447,320 | 41.4% |
| Vinnie J. Hemrajani | 369,355 | 0.5% |
| Eshan J. Hemrajani | 4,447,915 | 5.9% |
| Eshan J. Hemrajani with Dikshita | 4,859,560 | 6.4% |
| Amit J. Hemrajani | 4,425,230 | 5.8% |
| India Business Excellence Fund – II | 8,504,225 | 11.2% |
| India Business Excellence Fund – IIA | 21,868,020 | 28.8% |
| **Total** | **75,921,625** | **100.0%** |

1.5. We have been informed by the management and representatives of GWSIL that there has been no change in the above shareholding pattern till the date of issuance of this Report.

### Yes Systems Private Limited (“YSPL” or “Target Company”)

1.6. YSPL is a private Limited Company incorporated on April 22, 2021, under the provisions of Companies Act, 2013. The CIN of YSPL is U28129MH2021PTC359442 and its registered office is Plot No. A-471, TTC MIDC Mahape, Navi Mumbai, Thane – 400 710, as per MCA records.

1.7. YSPL is in the business of supply and installation of ultra luxury fenestration Solutions serving high – end individual residences and ultra luxury residential complexes.

1.8. The issued, subscribed and fully paid-up share capital of YSPL as on June 30, 2025, is INR 0.5 Mn., comprising of 50,000 fully paid-up equity shares of face value of INR 10.0 each.

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1.9. The shareholding pattern of YSPL as at June 30, 2025, is as below:

| Shareholder's Name | Number of Shares Held | Percentage Holding (%) |
|---|---|---|
| Amit J. Hemrajani | 20,000 | 40.0% |
| Eshan J. Hemrajani | 20,000 | 40.0% |
| Vinne J. Hemrajani | 10,000 | 20.0% |
| **Total** | **50,000** | **100.0%** |

1.10. We have been informed by the management and representatives of YSPL that there has been no change in the above shareholding pattern till the date of issuance of this Report.

## 2. Purpose of Valuation

2.1. We understand that the management of GWSIL is contemplating the 100.0% acquisition of equity shares of YSPL, from its existing shareholders. The consideration for the proposed acquisition of shares of YSPL is proposed to be discharged by GWSIL by issuance of its equity shares on a preferential allotment basis **("Proposed Acquisition / Transaction")**.

2.2. In this regard, we have been appointed by the Client to issue a report on recommendation of fair value per equity share of the Companies for the purpose of Section 62 of the Companies Act, 2013 (to the extent applicable) to determine the fair equity share exchange ratio **("Purpose"),** as on June 30, 2025 **("Valuation Date")**.

## 3. Terms of Engagement

### Context and Purpose

3.1. BDO Val has been appointed to determine the fair equity valuation of the Companies and to recommend the fair equity share exchange ratio as mentioned in Section 2 of this Report. This valuation exercise and this Report are solely for the Purpose mentioned in the Report.

**Restricted Audience**

3.2. This Report and the information contained herein are absolutely confidential and are intended for the use of the Client only for submitting to the statutory authorities for compliance under section 62 of the Companies Act, 2013 (to the extent applicable). The results of our valuation analysis and our Report cannot be used or relied by the Companies for any other Purpose or by any other party for any Purpose whatsoever.

3.3. This Report will be placed before the Board of Director(s) and intended only for their sole use and information only. To the extent mandatorily required under applicable laws of India, this Report maybe produced before regulatory authorities, in connection with the Proposed Acquisition / Transaction. We are not responsible to any other person or party, for any decision of such person or party based on this Report. Any person or party intending to provide finance / invest in the shares / business of the Companies / Clients or their holding companies, subsidiaries, associates, joint ventures shall do so after seeking their own professional advice and after carrying out their own due diligence procedures to ensure that they are making an informed decision. If any person / party (other than the Clients) chooses to place reliance upon any matters included in the Report, they shall do so at their own risk and without recourse to BDO Val.

3.4. It is hereby notified that usage, reproduction, distribution, circulation, copying or otherwise quoting of this Report or any part thereof, except for the Purpose as set out earlier in this Report, without our prior written consent, is not permitted, unless there is a statutory or a regulatory requirement to do so.

3.5. Without limiting the foregoing, we understand that the Clients may be required to share this Report with regulatory authorities including SEBI, RBI, professional advisors of the Client, in connection with the Proposed Acquisition / Transaction **("Permitted Recipients")**. We hereby provide consent to such disclosure of this Report, on the basis that we owe responsibility only to the Clients that has engaged us, under the terms of the engagement, and no other person; and that, to the fullest extent permitted by law, we accept no responsibility or liability to any other party, in connection with this Report. It is clarified that reference to this Report in any document and / or filing with Permitted Recipients, in connection with the Proposed Acquisition / Transaction, shall not be deemed to be an acceptance by us of any responsibility or liability to any person / party other than the Clients.

## 4. Caveats, Limitations and Disclaimers

4.1. This Report is to be read in totality, and not in parts, in conjunction with the relevant documents referred to therein.

4.2. This Report, its contents, and the analysis herein are specific to (i) the Purpose of valuation agreed as per the terms of our engagement, (ii) the Valuation Date and (iii) based on the data detailed in the section – '*Sources of Information*'. The management of the Companies have represented that the business activities of the Companies have been carried out in the normal and ordinary course till the date of the Report and that no material changes are expected in their respective operations and financial position to occur up to the date of the Report.

4.3. We were provided with sufficient information and time to form our opinion for this valuation exercise. However, our opinion may change if any information is not disclosed / hidden from us during our valuation exercise.

4.4. The scope of the assignment did not include performing audit tests for the purpose of expressing an opinion on the fairness or accuracy of any financial or analytical information that was used during the course of the work. Accordingly, we express no audit opinion or any other form of assurance on this information on behalf of the Companies. The assignment did not involve us to conduct the financial or technical feasibility study. We have not done any independent technical valuation or appraisal or due diligence or legal title search of the assets or liabilities of the

Companies and have considered them at the value as disclosed by the Companies in their regulatory filings or in submissions, oral or written, made to us.

4.5. Further, this Report is based on the extant regulatory environment and the financial, economic, monetary and business / market conditions, and the information made available to us or used by us up to the date hereof, which are dynamic in nature and may change in future, thereby impacting the valuation of the Companies. Subsequent developments in the aforementioned conditions may affect this Report and the assumptions made in preparing this Report and we shall not be obliged to update, review or reaffirm this Report if the information provided to us changes. Further, events occurring after the date hereof may affect this Report and the assumptions used in preparing it, and we do not assume any obligation to update, revise or reaffirm this Report.

4.6. We have no present or planned future interest in the Companies or any of their group entities.

4.7. The recommendation contained herein is not intended to represent value at any time other than the Valuation Date.

4.8. This Report is subject to the laws of India.

4.9. The fee for this engagement is not contingent upon the outcome of the Report.

4.10. In rendering this Report, we have not provided legal, regulatory, tax, accounting or actuarial advice and accordingly we do not assume any responsibility or liability in respect thereof.

4.11. This Report is based on the information received from the sources mentioned herein and discussions with the representatives of the Companies. We have assumed that no information has been withheld that could have influenced the purpose of our Report.

4.12. We have assumed and relied upon the truth, accuracy and completeness of the information, data and financial terms provided to us or used by us, we have assumed that the same are not misleading and do not assume or accept any liability or responsibility for any independent verification of such information. Nothing has come to our knowledge to indicate that the material provided to us was mis-stated or incorrect or would not provide reasonable grounds upon which to base our Report.

4.13. For the present valuation exercise, we have also relied upon information available in the public domain; however, the accuracy and timeliness of the same has not been independently verified by us.

4.14. In addition, we do not take any responsibility for any changes in the information used by us to arrive at our conclusion as set out here in which may occur subsequent to the date of our Report or by virtue of fact that the details provided to us are incorrect or inaccurate.

4.15. We have arrived at a relative value based on our analysis. Any transaction price may however be significantly different and would depend on the negotiating ability and motivations of the respective buyers and sellers in the transaction.

4.16. Our scope is limited to the recommendation of Fair Share Swap Ratio. The Report should not be construed as our opinion or certifying the compliance of the Proposed Acquisition / Transaction with the provisions of any law including the Companies Act 2013, Foreign Exchange Management

Act, 1999, taxation related laws, capital market related laws, any accounting, taxation or legal implications or issues arising from the Proposed Acquisition / Transaction.

4.17. The Report assumes that the Companies comply fully with relevant laws and regulations applicable in all their areas of operation unless otherwise stated and that the Companies will be managed in a competent and responsible manner. Further, except as specifically stated to the contrary, this Report has given no consideration to matters of legal nature, including issues of legal title and compliance with local laws, litigation and other contingent liabilities that are not recorded in the financial statements of the Companies.

4.18. This Report does not look into the business / commercial reasons behind the Proposed Acquisition / Transaction, nor the likely benefits arising out of the same. Similarly, it does not address the relative merits of the Proposed Acquisition / Transaction as compared with any other alternative business transaction or any other alternatives, whether or not such alternatives could be achieved or are available. The assessment of commercial and investment merits in the Companies is sole responsibility of the investors of the Companies and we do not express opinion on the suitability or otherwise of entering into any financial or other transactions with the Companies.

4.19. Valuation and determination of a Fair Share Swap Ratio is not a precise science and the conclusions arrived at in many cases will be subjective and dependent on the exercise of individual judgment. There is therefore no indisputable single value. While we have provided an assessment of the value based on an analysis of information available to us and within the scope of our engagement, others may place a different opinion.

4.20. Valuation is based on estimates of future financial performance or opinions, which represent reasonable expectations taking into consideration the economic, social and market patterns existing at that point in time, but such information, estimates or opinions are not offered as predictions or as assurances that a particular level of income or profit will be achieved, a particular event will occur or that a particular price will be offered or accepted. Actual results achieved during the period covered by the prospective financial analysis will vary from these estimates and the variations may be material. Although we have read, analyzed and discussed the Company(ies) management business plan for the purpose of undertaking a valuation analysis, we have not recommended on the achievability and reasonableness of the assumptions provided to us save for satisfying ourselves to the extent possible that they are consistent with other information provided to us in the course of the assignment.

4.21. Whilst we have conducted analysis of the financial projections of the Companies for arithmetic and logical consistency, our review was not in the nature of an audit/ a due diligence. We do not express an opinion as to how closely the actual revenues, expenses, cash flows and position of assets and liabilities will correspond to these financial projections. There will usually be differences between predicted and actual results and those differences may be material. The Clients have provided us with a set of financial projections that are based on internal estimates including growth expectations of end user industries, cost estimations, etc. and represent their best estimate of the expected performance of the Companies going forward. We take no responsibility for the achievement of the predicted results.

4.22. Whilst all reasonable care has been taken to ensure that the factual statements in the Report are accurate, neither of us, nor any of our partners, officers or employees shall in any way be liable or responsible either directly or indirectly for the contents stated herein. Accordingly, we make no representation or warranty, express or implied, in respect of the completeness, authenticity or accuracy of such factual statements. We expressly disclaim any and all liabilities which may arise based upon the information used in this Report.

4.23. We owe responsibility to only the Board of Directors of the Client and nobody else. We will not be liable for any losses, claims, damages or liabilities arising out of the actions taken, omissions of or advice given by any other party to the Companies. In no event shall we be liable for any loss, damages, cost or expenses arising in any way from fraudulent acts, misrepresentations or wilful default on part of the Companies, their directors, employees or agents. In the particular circumstances of this case, our liability, if any (*in contract or under statute or otherwise*) for any economic loss or damage arising out of or in connection with this engagement, howsoever the loss or damage caused, shall be limited to the amount of fees actually received by us from the Client as laid out in the engagement letter, for such valuation work.

4.24. We do not accept any liability to any third party in relation to the issue of this Report. It is understood that this analysis does not represent a fairness opinion. This Report is not a substitute for the third party's own due diligence / appraisal / enquiries / independent advice that the third party should undertake for his purpose.

4.25. No investigation / inspection of the Companies claim to title of assets has been made for the purpose of this Report and the Companies claim to such rights has been assumed to be valid. No consideration has been given to liens or encumbrances against the assets, beyond the loans disclosed in the accounts and details of pending payable shared by the Companies. Therefore, no responsibility has been assumed for matters of a legal nature.

4.26. The recommendation(s) rendered in this Report only represent our recommendation(s) based upon information furnished by the Companies (or its representatives) and other sources and the said recommendation(s) shall be considered to be in the nature of non-binding advice (our recommendation will however not be used for advising anybody to take buy or sell decision, for which specific opinion needs to be taken from expert advisors).

4.27. Any discrepancies in any table/ annexure between the total and the sums of the amounts listed are due to rounding-off.

4.28. We have also obtained the explanations, information and representations, which we believed were reasonably necessary and relevant for our exercise from the management of the Companies.

4.29. A draft of the report was shared with the Client, prior to finalization of report, for confirmation of facts and other Client representations.

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## 5. Sources of Information

5.1. For the purpose of undertaking this valuation exercise, we have relied on the following sources of information provided by the management and representatives of the Clients:

- Audited financial statements of GWSIL and YSPL for the Financial Year **("FY")** ended March 31, 2023 and March 31, 2024;
- Provisional financial statements of GWSIL and YSPL for the Financial Year ended March 31, 2025;
- Projected financial statements of GWSIL and YSPL for the period April 01, 2025, to March 31, 2030;
- Latest available assessment year Income Tax Return of the Companies;
- Management Representation Letter addressed to BDO Val;
- Relevant data and information provided to us by the management and representatives of the Companies either in written or oral form or in form of soft copy and information available in public domain.

## 6. Procedures Adopted

6.1. In connection with this exercise, we have adopted the following procedures to carry out the valuation:

- Requested and received financial and qualitative information, and clarifications regarding past financial performance of the Companies.
- Considered data available in public domain related to the Companies and its peers.
- Discussions (physical / over call) with the management and representatives of the Clients to understand the business and fundamental factors that affect its earning-generating capability and historical financial performance of the Companies as available in public domain or provided to us by the Clients.
- Sought various clarifications from the Management based on our review of information shared and our analysis;
- Undertook Industry Analysis:
  - Researched publicly available market data including economic factors and industry trends that may impact the valuation; and
  - Analyzed key trends and valuation multiples of comparable companies using proprietary databases subscribed by us or our network firms.

- Selected internationally accepted valuation methodology(ies) as considered appropriate by us, in accordance with the International Valuation standards published by the International Valuation Standards Council.

- Arrived at valuation of the Companies in order to conclude our analysis on Fair Equity Share Exchange Ratio for the Proposed Acquisition / Transaction.

6.2. We have considered the valuation base as '*Fair Value*' and the premise of value is '*current use / existing use*'. We hereby confirm that the valuation is carried out as per IVS. Any change in the valuation base or the premise, could have a significant impact on the outcome of the valuation exercise, and therefore, this Report.

6.3. We have also relied on data from external sources to conclude the valuation. These sources are believed to be reliable and therefore, we assume no liability for the truth or accuracy of any data, opinions or estimates furnished by others that have been used in this analysis. Where we have relied on data, opinions or estimates from external sources, reasonable care has been taken to ensure that such data has been correctly extracted from those sources and /or reproduced in its proper form and context

## 7. Major factors that were considered during the valuation

7.1. The following are the major factors that were taken into consideration during the current valuation exercise:

- Current status of operation of the Company;
- Risks associated with the business;
- Multiples of companies, prevalent in the industry; and
- Revenue growth rate and EBITDA margins during the projected period and the risk of achieving the same.

## 8. Valuation Approaches & Methodologies

8.1. It is pertinent to note that the valuation of any company or its assets is inherently imprecise and is subject to certain uncertainties and contingencies, all of which are difficult to predict and are beyond our control. In performing our analysis, we made numerous assumptions with respect to regulatory environment / local laws, industry performance and general business and economic conditions, many of which are beyond the control of the companies. In addition, this valuation will fluctuate with changes in prevailing market conditions, and prospects, financial and otherwise, of the companies / businesses, and other factors which generally influence the valuation of the companies, its businesses and assets.

8.2. The application of any particular method of valuation depends on the purpose for which the valuation is done. Although different values may exist for different purposes, it cannot be too strongly emphasized that a valuer can only arrive at one value for one purpose. Our choice of methodology of valuation has been arrived at using usual and conventional methodologies adopted for transactions of a similar nature and our reasonable judgment, analysis of businesses, in an independent and bona fide manner based on our previous experience of assignments of similar nature.

8.3. It may be noted that BDO Val is enrolled with IOV Registered Valuers Foundation, which has recommended to follow International Valuation Standards **(“IVS”)** 2025 for undertaking valuation and accordingly we have considered the International Valuation Standards issued by International Valuation Standards Council **(“IVSC”)** in carrying out the valuation exercise.

8.4. The Valuation Date is June 30, 2025.

8.5. There are three generally accepted approaches to valuation:

(a) "**Cost**" Approach

(b) "**Income**" Approach

(c) "**Market**" Approach

Within these three basic approaches, several methods may be used to estimate the value. An overview of these approaches is as follows:

### Cost Approach

**Summation Method**

The summation method, also referred to as the underlying asset method, is typically used for investment companies or other types of assets or entities for which value is primarily a factor of the values of their holdings.

This valuation approach is mainly used in case where the assets base dominates earnings capability.

### Income Approach

The income approach is widely used for valuation under "Going Concern" basis. It focuses on the income generated by the company in the past as well as its future earning capability. The Discounted Cash Flow Method under the income approach seeks to arrive at a valuation based on the strength of future cash flows.

**Discounted Cash Flow Method**

Under the Discounted Cash Flow (‘DCF’) method, the value of the undertaking is based on expected 'cash flows for future, discounted at a rate, which reflects the expected returns and the risks associated with the cash flows as against its accounting profits. The value of the undertaking is determined as the present value of its future free cash flows.

Free cash flows are discounted for the explicit forecast period and the perpetuity value thereafter. Free cash flows represent the cash available for distribution to both the owners and creditors of the business.

Discount rate is the Weighted Average Cost of Capital ('WACC'), based on an optimal vis-à-vis actual capital structure. It is appropriate rate of discount to calculate the present value of future cash flows as it considers equity–debt risk and also debt–equity ratio of the firm.

The perpetuity (terminal) value is calculated based on the business's potential for further growth beyond the explicit forecast period. The "constant growth model" is applied, which implies an expected constant level of growth (for perpetuity) in the cash flows over the last year of the forecast period.

The discounting factor (rate of discounting the future cash flows) reflects not only the time value of money, but also the risk associated with the business's future operations.

The Business / Enterprise Value so derived, is further reduced by value of debt, if any, (net of cash and cash equivalents) to arrive at value to the owners of business. The surplus assets / non-operating assets are also adjusted.

In case of free cash flows to equity, the cash available for distribution to owners of the business is discounted at the Cost of Equity and the value so arrived is the Equity Value before surplus / non-operating assets. The surplus assets / non-operating assets are further added to arrive at the Equity Value.

### Market Approach

Under the Market approach, the valuation is based on the market value of the company in case of listed companies and comparable companies trading or transaction multiples for unlisted companies. The Market approach generally reflects the investors' perception about the true worth of the company.

**i. <u>Market Price Method</u>**

Under this method, the market price of an equity shares of the company as quoted on a recognized stock exchange is normally considered as the fair value of the equity shares of that company where such quotations are arising from the trading. The market value reflects the investors' perception about the true worth of the company.

**ii. <u>Guideline publicly traded comparable method / Comparable Companies Multiple Method</u>**

Under the Guideline publicly traded comparable method / Comparable Companies Multiple ('CCM') method, the value is determined on the basis of multiples derived from valuations of comparable companies, as manifest through stock market valuations of listed companies. This valuation is based on the principle that market valuations, taking place between informed buyers and informed sellers, incorporate all factors relevant to valuation. Relevant multiples need to be chosen carefully and adjusted for differences between the circumstances.

To the value of the business so arrived, adjustments need to be made for the value of contingent assets / liabilities, surplus asset and dues payable to preference shareholders, if any, in order to arrive at the value for equity shareholders.

**iii. Comparable Transactions Multiple Method**

Under the Comparable Transactions Multiple ('CTM') method, the value of a company can be estimated by analysing the prices paid by purchasers of similar companies under similar circumstances. This is a valuation method where one will be comparing recent market transactions in order to gauge the current valuation of target company. Relevant multiples have to be chosen carefully and adjusted for differences between the circumstances. This valuation approach is based on the principle that market valuations, taking place between informed buyers and informed sellers, incorporate all factors relevant to valuation.

## 9. Conclusion on Valuation Approach for Fair Share Swap Ratio

9.1. For determining the valuation base in relation to valuation of GWSIL and YSPL, we have considered the IVS issued by IVSC.

9.2. The present valuation analysis exercise is being undertaken to arrive at the Fair Equity Share Exchange Ratio for the Proposed Acquisition / Transaction as mentioned above in the Report.

**GWSIL and YSPL:**

**Cost Approach:**

**GWSIL**

This valuation approach is mainly used in case where the asset base dominates the earnings capability. In a going concern scenario, net asset basis has a limited relevance as compared to future earning potential of a company. Therefore, we have not considered Cost Approach for valuation of GWSIL.

**YSPL**

Similarly, in case of YSPL, in a going concern scenario, net asset basis has a limited relevance as compared to future earning potential of a company. Therefore, we have not considered Cost Approach for valuation of the same.

**Market Approach:**

**GWSIL**

In the present case since GWSIL is not listed on any stock exchange, we have not considered the Market Price Method under the Market Approach for valuation of the same.

We have considered CCM method for valuation of GWSIL under Market Approach, whereby we have considered the appropriate multiples of the listed comparable company(ies) operating in India in the Engineering, Procurement, and Construction business and related services industry, for the present valuation exercise.

We have not considered CTM method for valuation of GWSIL under Market Approach in the absence of adequate details about / paucity of comparable transactions in the similar business to that of GWSIL.

**YSPL**

In the present case since YSPL is not listed on any stock exchange, we have not considered the Market Price Method under the Market Approach for valuation of the same.

We have considered CCM method for valuation of YSPL under Market Approach, whereby we have considered the appropriate multiples of the listed comparable company(ies) operating in India in the Engineering, Procurement, and Construction business and related services industry, for the present valuation exercise.

We have not considered CTM method for valuation of YSPL under Market Approach in the absence of adequate details about / paucity of comparable transactions in the similar business to that of YSPL.

**Income Approach:**

**GWSIL**

The true worth of GWSIL's business would be reflected in its future earnings capability. It captures the value of the company on a going concern basis. Hence, the DCF Method under the Income Approach has been considered for the present valuation exercise.

**YSPL**

The true worth of YSPL's business would be reflected in its future earnings capability. It captures the value of the company on a going concern basis. Hence, the DCF Method under the Income Approach has been considered for the present valuation exercise.

## 10. Basis of Fair Equity Share Exchange Ratio

10.1. The basis of the fair equity share exchange ratio for the Proposed Acquisition / Transaction would have to be determined after taking into consideration all the factors and methods mentioned hereinabove and to arrive at a final value for the shares of each company. It is, however, important to note that in doing so, we are not attempting to arrive at the absolute values of the Companies, but at their relative values to facilitate the determination of the Fair Share Swap Ratio.

10.2. We have independently applied methods discussed above, as considered appropriate, and arrived at their assessment of value per share of the Companies. To arrive at the consensus on the Fair Share Swap Ratio for the Proposed Acquisition / Transaction, rounding off has been done in the values / ratio.

10.3. The Fair Share Swap Ratio has been arrived at based on the various approaches / methods explained herein earlier and various qualitative factors relevant to each company and the business dynamics and growth potentials of the businesses, having regard to information base, key underlying assumptions and limitations.

## 11. Conclusion of Fair Equity Share Exchange Ratio

11.1. In the ultimate analysis, valuation will have to involve the exercise of judicious discretion and judgment taking into account all the relevant factors. There will always be several factors, e.g. present and prospective competition, yield on comparable securities and market sentiments etc. which are not evident from the face of the balance sheets, but which will strongly influence the worth of a share. This concept is also recognized in judicial decisions. For example, Viscount Simon Bd in Gold Coast Selection Trust Ltd. vs. Humphrey reported in 30 TC 209 (House of Lords) and quoted with approval by the Honorable Supreme Court of India in the case reported in 176 ITR 417 as under:

*"If the asset takes the form of fully paid shares, the valuation will take into account not only the terms of the agreement but a number of other factors, such as prospective yield, marketability, the general outlook for the type of business of the company which has allotted the shares, the result of a contemporary prospectus offering similar shares for subscription, the capital position of the company, so forth. There may also be an element of value in the fact that the holding of the shares gives control of the company. If the asset is difficult to value, but is nonetheless of a money value, the best valuation possible must be made. Valuation is an art, not an exact science. Mathematical certainty is not demanded, nor indeed is it possible".*

11.2. In the light of the above, and on consideration of all the relevant factors and circumstances as discussed and outlined hereinabove, in our opinion the fair equity share exchange ratio for the proposed acquisition of YSPL by GWSIL would be as follows:

| Valuation Approach | Valuation Method | GWSIL | | YSPL | |
|---|---|---|---|---|---|
| | | Value Per Share (INR) | Weights | Value Per Share (INR) | Weights |
| Income Approach | DCF Method | 180.37 | 50% | 32,711.48 | 50% |
| Market Approach | MP Method | - | 0% | - | 0% |
| | CCM / CTM Method | 175.25 | 50% | 29,286.77 | 50% |
| Cost Approach | Summation Method | - | 0% | - | 0% |
| **Value Per Share (Rounded off)** | | **177.81** | | **30,999.13** | |
| **Swap Ratio (Rounded off)** | | **174.34** | | | |

**NA= Not Adopted/Not Applicable**

**Recommendation:**

The following is the recommended Fair Equity Share Exchange Ratio:

***1,743,385 (One million, seven hundred forty-three thousand, three hundred eighty-five) fully paid equity shares of face value INR 10 each of GWSIL, for every 10,000 (Ten thousand) fully paid equity shares of face value INR 10 each held in YSPL.***

This Report and Fair Equity Share Exchange Ratio is based on the equity share capital structure of GWSIL and YSPL as mentioned earlier in this report. Any variation in the equity capital of the Companies may have material impact on the Fair Equity Share Exchange Ratio.

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## Annexure 1 - Valuation of GWSIL as per the DCF Method:

| Particulars | Amount (INR Mn) |
|---|---|
| Net Present Value (NPV) of Cash Flow for the Explicit Period | 1,521.73 |
| Add: NPV of Terminal Value | 10,914.31 |
| **Equity Value** | **12,436.04** |
| Other Adjustments as at the Valuation Date | 1,257.71 |
| **Adjusted Equity Value** | **13,693.75** |
| Total No. of Equity Shares | 75,921,625 |
| **Equity Value per share (INR)** | **180.37** |

## Annexure 2 - Computation of Weighted Average Cost of Capital for GWSIL:

| Particulars | % | Explanation |
|---|---|---|
| ***Cost of Equity*** | | |
| Risk free return (Rf) | 6.46% | Risk free rate has been considered based on 10 years zero coupon yield curve issued by Government of India as at Valuation Date |
| Market Return (Rm) | 14.00% | Market Return has been considered based on the long term average returns earned by an equity investor investing in India |
| Risk premium (Rm-Rf) | 7.54% | Market Premium = Market Return – Risk Free Rate |
| Beta (β) | 0.7 | Based on beta of listed companies in similar industries |
| Base Cost of Equity (Ke) | 11.78% | Ke = Rf + β x (Rm-Rf) |
| Company Specific Risk Premium (Ksp) | 1.50% | Being the Company Specific Risk Premium added on account of factors inter - alia, risk of achieving projections, illiquidity, profitability, etc. |
| **Revised Cost of Equity** | **13.28%** | **Ke + Ksp** |
| **WACC Adopted** | **13.30%** | **After rounding off** |

## Annexure 3 - Valuation of GWSIL as per the CCM Method:

| Particulars | Amount (INR Mn) |
|---|---|
| Profit After Tax - FY26* | 518.94 |
| P/E Multiple (x) | 25.64 |
| **Equity Value** | **13,305.50** |
| Total No. of Equity Shares | 75,921,625 |
| **Equity Value per share (INR)** | **175.25** |

**Profit after tax for FY26 has been considered at net present value*

## Annexure 4: Valuation of YSPL as per the DCF Method:

| Particulars | Amount (INR Mn) |
|---|---|
| Net Present Value (NPV) of Cash Flow for the Explicit Period | 691.89 |
| Add: NPV of Terminal Value | 819.35 |
| **Equity Value** | **1,511.24** |
| Other Adjustments as at the Valuation Date | 124.33 |
| **Adjusted Equity Value** | **1,635.57** |
| Total No. of Equity Shares | 50,000 |
| **Equity Value per share (INR)** | **32,711.48** |

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## Annexure 5 - Computation of Weighted Average Cost of Capital for YSPL:

| Particulars | % | Explanation |
|---|---|---|
| ***Cost of Equity*** | | |
| Risk free return (Rf) | 6.46% | Risk free rate has been considered based on 10 years zero coupon yield curve issued by Government of India as at Valuation Date |
| Market Return (Rm) | 14.00% | Market Return has been considered based on the long term average returns earned by an equity investor investing in India |
| Risk premium (Rm-Rf) | 7.54% | Market Premium = Market Return – Risk Free Rate |
| Beta (β) | 0.7 | Based on beta of listed companies in similar industries |
| Base Cost of Equity (Ke) | 11.67% | Ke = Rf + β x (Rm-Rf) |
| Company Specific Risk Premium (Ksp) | 7.50% | Being the Company Specific Risk Premium added on account of factors inter - alia, risk of achieving projections, illiquidity, profitability, etc. |
| **Revised Cost of Equity** | **19.17%** | **Ke + Ksp** |
| **WACC Adopted** | **19.20%** | **After rounding off** |

## Annexure 6 - Valuation of YSPL as per the CCM Method:

| Particulars | Amount (INR Mn) |
|---|---|
| Profit After Tax - FY26* | 132.76 |
| P/E Multiple (x) | 11.03 |
| **Equity Value** | **1,464.34** |
| Total No. of Equity Shares | 50,000 |
| **Equity Value per share (INR)** | **29,286.77** |

**Profit after tax for FY26 has been considered at net present value*

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